

Federal Budget 2026–27 Infographic

#federalbudget

 By Westpac Australia Economics

08:00 May 13 2026

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A snapshot of the headline figures and policy highlights of Budget 2026–27.

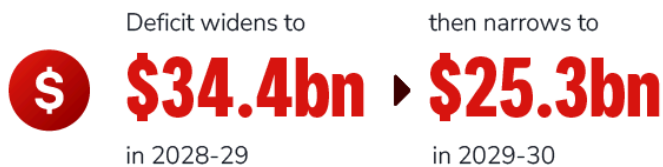


Budget 2026-27 focuses attention on Australia’s resilience, the cost of living and economic opportunity. The deficit is expected to widen to \$34.4bn (1.0% of GDP) in 2028-29 as energy prices and interest rates crimp growth. The savings package (mainly tax and NDIS) is one of the largest since the mid-1990s, but the benefit is backloaded.

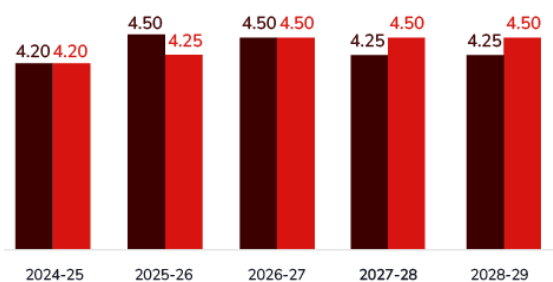
Federal Budget 2026-27

Economic Highlights

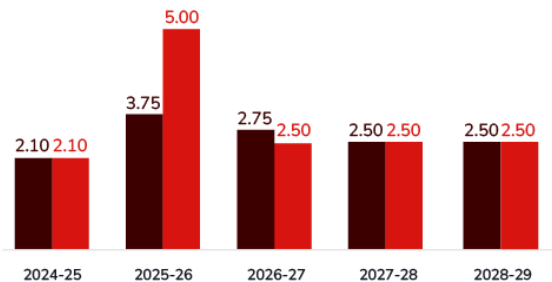
Budget position



Government unemployment rate forecasts (%)



Government inflation rate forecasts (%)



MYEFO 2025-26* | **Budget 2026-27**

*Mid-Year Economic and Fiscal Outlook (MYEFO). Note: 2024-25 is the latest actual outcome. Forecasts begin in 2025-26.

Key Initiatives

Defence
spending

\$53.0bn

Hospital
funding

\$18.1bn

Tax
offset

\$6.4bn

Fuel security

Over 10 years to strengthen capacity to deter and respond to threats.

Pharmaceutical

Investment in hospitals to improve effectiveness and efficiency of public system.

Fuel cost relief

Additional \$250 annual tax offset for working Australians from 1 July 2027.

Australia's fuel security

\$10.7bn

\$7.5bn for fuel and fertiliser security facility, and \$3.2bn to establish fuel security reserve.

Pharmaceutical Benefits Scheme

\$5.9bn

Pharmaceutical Benefits Scheme new and amended listings.

Fuel cost relief

\$2.9bn

Temporary reduction of fuel excise and heavy vehicle charge.

For key initiatives, cost is for the five years from 2025-26 to 2029-30 inclusive, unless otherwise stated.

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